

Inha University in Tashkent

***Theme 8:* Transition to Market Economy, Legal Basis and Formation of
Market Infrastructure**

Tashkent – 2024

Outline:

- Economy in Late Soviet Period
- The Concept of Market Economy
- "Uzbek model" of Development
- The Formation of Market Infrastructure



Characteristic Feature of Economy in Soviet Period

- In the Soviet Union, the communists, attempted to promote social justice and well-being of the people by
 - establishing the system of public ownership of property;
 - centralizing the economy
 - and distributing resources in planned manner.
- Uzbekistan was unable to own its natural resources, land, water, forest and other resources, as well as could not determine the path of economic development during Soviet period.
- The enterprises that built and operated in the country were subordinated to the center and to its interests.
- As a result, cultivated lands of the republic were transformed into cotton fields, cotton monopoly was established.





Economic Position of Uzbekistan within Union

- Uzbekistan ranked 12th in terms of GDP per capita, while the GNP per capita income was two times lower than the Soviet Union's average.
- In terms of labor productivity in the industry, Uzbekistan was about 40 percent behind the country and twice as much in terms of agricultural productivity.
- The share of ready products in industry was only 50%, more than 80% of agricultural products were exported without any processing. The fact that two thirds of the products imported from the country as raw material, materials and finished products, indicates deep discrepancies in social production structure.
- This 70-year-long economic policy did not justify itself; social justice was not resolved; prosperity for the people was not created.
- Finally, a highly politicized, administrative economy was collapsed.



The Concept of Market Economy

- After establishment of independence, Uzbekistan started the transition of market economy.
- Market economy is based on commodity-monetary relations and functions in accordance with the economic laws.
- The market economy has been shaping and improving over the millennia since ancient times. In the economic development, market relations existed in two different ways.
- The first is the market economy, which has a chaotic, coherent activity. In this way of development manufacturers and consumers operate in a dispersed, self-sufficient manner, without prior agreement.
- Second, the market economy which is governed by state and regulated by economic laws and economic instruments.

The Concept of Market Economy



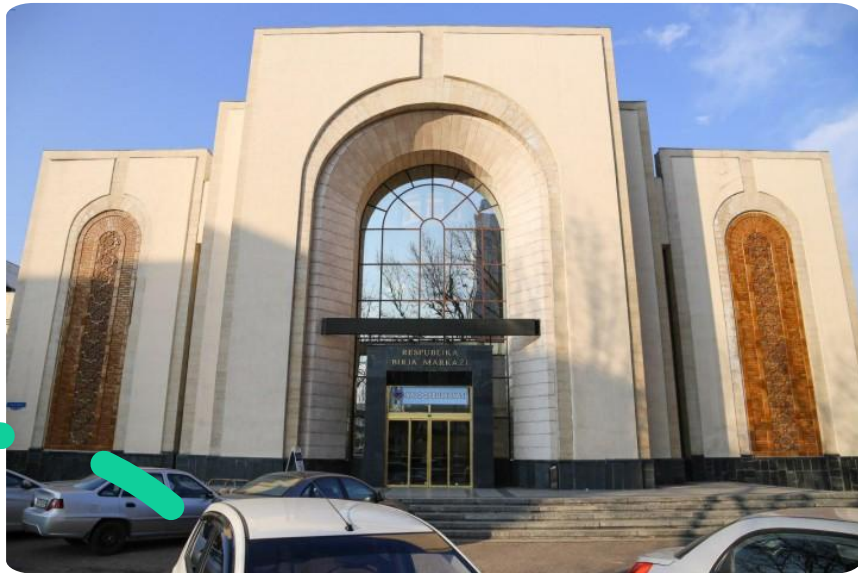
- Its features:
 - commodity producers are economically free;
 - People are the property owners, they own the products they produce;
 - the commodity producers are free to compete in the market;
 - not a producer in the market, but the consumer puts his own demand because the money is in his hands;
 - members of the community are classified according to their income.

"Uzbek model" of development

The First President of Uzbekistan Islam Karimov in his book "Uzbekistan - own model of transition to market relations" introduced the "Uzbek model" of development, that based on five principles of economic reform and democratic development of society:

- 1) De-ideologization of the economy.
- 2) The state is the main reformer.
- 3) The supremacy of law.
- 4) The strong social policy.
- 5) The transition to a market economy step-by-step or gradually





Market Infrastructure

- One of the most important directions of economic reforms is to create a market infrastructure.
- Market Infrastructure is a complex of institutions, organizations, and enterprises that promote market relations and their effective functioning.
- Initially, the structures of transport, communications, water and energy supply, road and warehouse facilities were created.
- The stock market has a special place in forming market relations.
- In the early stages of the economic reforms, 'Republican Real Estate Exchange', 'Commodity Exchange', and 'Tashkent Stock Exchange' were set up. This network is further developed.



Market Infrastructure

- From 1991 to 2000, 58 commodity and raw materials exchanges, 496 audit and consulting firms were established for business entities.
- Infrastructure of financial and credit relations of business entities - new banking system, self-financing institutions, insurance companies, financial companies, taxation bodies, money savings.
- The banking and financial system serving the economy of the country has been created.
- In the first year of independence, there were only 6 banks in our country, and in 2002 their number reached 40. Of these, 2 were state-owned, 17 privately owned, 4 foreign-owned and the rest are joint-stock commercial banks. However, nowadays there are more than 30 banks in Uzbekistan.



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- At the first stage of economic reforms, prices were liberalized. This process has passed without social shocks.
 - The government has created various compensation funds, introduced pension benefits, and wages, pensions, and scholarships have been constantly increased.
 - Price liberalization is directly related to the creation of a competitive environment in the economy.
 - In August 1992 the Law of the Republic of Uzbekistan "On restriction of monopolistic activities" was put into effect. A number of regulatory documents have been developed and implemented on the basis of this law.
 - The Main Department for Antimonopoly and Pricing Policy established in the Ministry of Finance.



Privatization



- The market economy is primarily based on different forms of ownership, multi-disciplinary economy. In this regard, the first step in the economic reform in Uzbekistan was the denationalization and privatization of property and the formation of the proprietary class.
- Privatization in Uzbekistan has not been for the benefit of some people. The privatization process was ensured through the sale of state property. At the same time, a system of privileges was created during privatization.
- The privatization was headed by state. In February 1992, the State Committee for Management of State Property and Privatization was created for organizing the process and managing it. Later, the Committee reestablished as the State Committee for Management of State Property and Support of Entrepreneurship in 1994 and its functions expanded.



The First Step of Privatization

- Privatization is based on the Laws 'On Privatization of the Property' that adopted on November 18, 1991, 'On Privatization of the State Housing Fund' (May 7, 1993) and more than 20 special government programs.
- Privatization began with the denationalization of trade, services and local industries, housing stock, farms producing agricultural products. It was called small privatization.
- In 1992-1994 about 54 thousand trade, service, motor transport, construction, agricultural enterprises and facilities were privatized. Of these, 18,400 were privately owned, 26,100 were joint-stock, 8,700 were communal, and 661 leasing companies. More than 14,000 farms were provided with 193,000 hectares of land. The number of private entrepreneurship entities reached 300,000, of which 250,000 were individuals engaged in individual labor activity on a patent basis. In 1994, almost half of the country's GDP was developed in the non-public sector of the economy, with about 4 million people employed in the sector.



The Second Step of Privatization

- The Decrees of the President of the Republic of Uzbekistan "On Measures for Further Deepening Economic Reforms" (adopted on January 21, 1994) and "Priorities for Further Development of the Process of Denationalization and Privatization" (adopted on March 16, 1994) have given a new impetus to the privatization process.
- In 1995, there was a period of mass privatization in the national economy. Now large enterprises have also been privatized. In the same year, 89 enterprises of the machine-building complex, 81 units of fuel and energy, 55 units of construction industry, 114 transports, 68 housing and communal services were privatized.

Indicators of National Economic Development

- Gross domestic product grew by 7.8% in 2016.
- The volume of industrial production increased by 6.6%, construction works - by 12.5%, services - by 12.5%.
- The state budget was executed with a surplus of 0.1 percent of GDP.
- The positive balance of foreign trade turnover was ensured.
- The inflation rate did not exceed the forecast parameters and amounted to 5.7%.
- According to the Central Bank, gold and currency reserves of Uzbekistan were estimated at \$ 26.6 billion, and in 2017 this reserve was increased to \$ 1.4 billion.
- In 2020, the gross domestic product (GDP) of Uzbekistan amounted to 580.2 trillion sums. Compared to 2019, the increase was 1.6%.
- Uzbekistan's GDP grew by 7.4% in 2021 and by 5.7% in 2022 in accordance with the World Bank.



Thank you for your attention!